

Augmenting Fair price shops with Organized retail outlets.

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Abstract:

The idea of welfare for the last man standing is not new. But in this era of corporate social responsibility, we have to ensure that organized retails do not escape from this responsibility. Retailing is always evolving. Thus, we find the concepts keep evolving. And more concepts are just round the corner. This has to do with evolution of the human needs and desire with time. Just emotions do not explain this behaviour. We will find that these items of compromising quality will usually not be bought by the middle and upper middle population of the society. This means that the organized details will have no issues at all carrying the items and dispersing these items. The “PDS plus community retail” is working in some areas where the fair price shops double as outlets for other materials like millets, pulses, dairy products, and daily-use goods in addition to subsidized foodgrains. The problem starts from lack of proper housing in the urban areas slum living conditions in which they stay and the temporary night shelters Are makeshift in nature. Drinking water is another problem that they face due to lack of proper hand pumps and safe water storage units. Livelihood and decent work possibilities also become a challenge at times. Other times these are available. Transport and connectivity are other issues that they have to face because of which the requirements change from the rural poor. In the urban area social protection and documentations are another big challenge as they do not have proper residential addresses and their safety and inclusion are always under a question mark. The climate and disaster resilience in the urban areas is another big challenge that they face and therefore these factors become a priority for the urban poor. The contribution of the organised retail in providing them with their basic necessities will go a long way in fulfilling the needs of the urban poor. These poor people will be at least assured that they will be able to meet the challenges that they face in living in urban areas with minimum earnings. This will also help them to set aside a certain amount of money which they save from these spendings, for the education, and healthcare of their children and themselves. Thus, apart from fulfilling their own needs, the organised retail would be catering to general welfare of the society as well by augmenting fair price shops in their outlet.

Keywords: welfare, corporate social responsibility, human needs and desire, inclusion, basic necessities, urban poor.

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Introduction:

Organized retail outlets and fair price shops are two different concepts. But in this era of corporate social responsibility, we have to ensure that organized retails do to escape from this responsibility. One good way of roping them in, is to take care of the urban poor. They can cater to this segment by having a fair price shop segment which could be limited to 10% of the turnover of the outlet. This article makes out such a proposal, implementing this would lead to all round benefit. The government could also contribute by propagating such a system.

Research Methodology: Both primary and secondary research was used. Basically, qualitative research method, especially fieldwork and *ethnographic* research was employed to understand the perspective of the poor. The researcher is spent time with people in their natural setting and using interviews plus observation. These people were also observed in the retail shops for the products they bought and desired but could not buy.

It is possible for the government to bring the entire idea into the corporate social responsibility ambit for the organized retails. This will not only help the organized retail to improves its stand and branding, but will help the government to fulfil the idea of having a clear concept where the idea can be Implement in practice FPS.

Literature review: The welfare measures of the government caters to the fair price retail shops. In India it is the heart of the attempt take care of poor who are unable to make two ends meet. Thus, the Targeted Public Distribution System distributes to the card holders covers very basic needs, so that they do not suffer from malnutrition and lack of food. The organized retail supermarkets hypermarkets and other modern formats are now a part of the retail distribution in India and are an integral part of the dispensing of essential items. The idea of augmenting FPS with organized detail sits at the intersection of the welfare distribution and modern retail efficiency.

Fair Price Shops (FPS) are a legally recognized component of India's Targeted Public Distribution System (TPDS), licensed to distribute essential commodities to ration card holders under the National Food Security Act framework (Indian Economic Service, n.d.). Their primary purpose is to ensure food security, subsidized access, and equitable distribution of essential goods, particularly for vulnerable households (GKToday, 2018; Indian Economic

Service, n.d.). In contrast, organized retail outlets operate through standardized formats, improved merchandising, and systematic service processes that aim to enhance customer experience and operational efficiency (Kohli & Bhagwati, 2011; *Recent Stipulation of Organized Retailing in India*, n.d.). The FPS network is designed to support food security, stabilize access to essential grains, and reduce vulnerability among poor households (GKToday, 2018). Studies comparing organized retail and kirana stores also show that service gaps exist even in modern retail settings, indicating that retail modernization alone does not guarantee high customer satisfaction (Customer Satisfaction and Service Quality in Organized Retail versus Kirana Stores in Kanpur, n.d.). In response, the policy framework allows states to review dealer margins and permit the sale of additional items, which indicates a reform-oriented approach to FPS sustainability (Indian Economic Service, n.d.). The Idea of augmenting FPS with organized retail was not found in the existing literature.

Emergence of Organized Retail.

We have seen the emergence of a change in the retail scenario in India. Earlier we had smaller formats and a few medium-size supermarkets. But today we have large organised retail shops which are functioning throughout the country both in tier 1 tier 2 cities and are doing well. Even the poor people who live in larger cities vie to be buyers of these large retails which are functioning in various malls and other attractive places.

We are ushering in an era of organized retailing in India, very different from the traditional 'kiranas' (mom and dad shops) we are accustomed to. However, resistance to change has been there in human nature. That is the reason why some people are often shocked by the change. If we look at the USA where organized retail stores sprang up gradually, we find competition brought about the change.

"Grocery stores, which was a thriving business at every street corner was taken over with a powerful effectiveness by the super market. The expansion of independent supermarkets was so aggressive that they almost wiped out the super markets. The established chains pompously ignored the genuine supermarkets. When they chose to notice them, it was with such derisive descriptions as "cheapy", "horse and buggy" "cracker-barrel storekeeping" and "unethical opportunists." (Levitt, 1980)

"The executive of one big chain announced at the time he found it 'hard to believe that people will drive for miles to shop for foods and sacrifice the personal service chains have perfected and to which Mrs. Consumer is accustomed.'" (M.M., 1955) (Ford, 2021)

“As late as 1936, the National Wholesale Grocers convention and the New Jersey Retail Grocers Association said there was nothing to fear. They said that the supers’ narrow appeal to the price buyer limited the size of their market. They had to draw from miles around. When imitators came, there would be wholesale liquidations as volume fell. The current high sales of the supers was said to be partly due to their novelty. Basically, people wanted convenient neighbourhood stores “cooperate with their suppliers, pay attention to their costs, and improve their service,” (Wilson, 2024) they would be able to weather the competition until it blew over.” (M.M., 1955; Wilson, 2024)

Retailing is always evolving. Thus, we find the concepts keep evolving. And more concepts are just round the corner. This has to do with evolution of the human needs and desire with time. Just emotions do not explain the behaviour. There are certain personal values triggered by the emotional appeals which are backed by the motivational drivers which compel people to react. Hence, it is just not the appeals that matter but also the people and their personalities and their motivational drivers. That is the reason why for different cultures for different age groups different emotional appeals have to be made. Today there is a concern for the poor people in urban areas also. Any organized retail which propagates a idea of taking care of the poor population will find their brand improving in the minds of all their consumers.

Fair price shops generally keep the following essential commodities under India’s Public Distribution System (PDS):

- Rice
- Wheat
- Sugar
- Iodised salt
- Kerosene, where applicable
- Pulses or dal
- Edible oil

“The exact items and quantities vary by state, government scheme, and ration-card category. For example, official state PDS information lists rice, wheat, sugar, iodised salt, and kerosene as standard commodities, while pulses and edible oils may be supplied under special schemes

or during market interventions. (Department Of Consumer Affairs , Food & Civil Supplies, 2026) For an organized retail outlet to have such items would be easily possible and they could keep it in a corner which is accessible to the urban poor. We will find that these items of reason quality will usually not be bought by the middle and upper middle population of the society. This means that the organized details will have no issues at all carrying the items and dispersing the items. The information that such items are carried will carry weight not only with those who are their existing customers but also the people in the society who are their potential customers. This means that the ret shop will attract more food falls and improve their turn over through taking such a step. They can very easily tie up with the government so that they honour various kinds of cards issued by them and entertain these at their shops as per the directions of the government.

The organized retail shops can add additional items also to this list. There are items like onion, potatoes, milk, flour, soap, detergent, and other household necessities which could easily be added. The government could also benefit from this step because they will not have to bear the additional cost of a retail outlet which they would have to otherwise make for a fair price shop. The organized Retail can carve out the expenses to the distribution of such items, within the scope of their existing business, therefore, no additional cost would have been incurred. Considering the high rental expenses in urban areas this would be a saving for government as well.

With time the organized retail shops can identify and isolate items that they are going to carry depending on the demands of the consumers who walk in this category. This would mean that the people who come would be monitored, they would be potential customers for the other categories in the shop as well and this would help the organized retail to grow as well. The fact that the poor people are you able to access such a shop would be a to the organized retail who makes strategies and efforts to bring in all categories of people in their shops.

Item quantities for ration-card categories are determined by the government under the National Food Security Act (NFSA) and state Public Distribution System (PDS) rules. The calculation usually depends on **the card category, number of eligible household members, type of commodity, and whether the entitlement is calculated per person or per family.**

Main factors

- **Ration-card category:** Antyodaya Anna Yojana (AAY) households generally receive a fixed household allocation because they are considered the poorest families.
- **Priority Household (PHH):** Allocation is usually calculated on a per-person basis.
- **Number of members:** For per-person entitlements, the total quantity equals the approved quantity per person multiplied by the number of eligible members.
- **Commodity:** Separate quantities may be fixed for rice, wheat, flour, sugar, pulses, or other approved items.
- **State rules:** States may provide quantities in addition to or different from the central NFSA entitlement.
- **Availability and scheme changes:** Special allocations, substitutions, and temporary benefits may alter the normal monthly quantity. (SUPPLY MATTERS, 2026)

Income group	Annual household income	Share of households
Low income	Below ₹3 lakh	34.10%
Lower middle	₹3–8 lakh	31.52%
Upper middle	₹8–10 lakh	21.20%
High income	Above ₹10 lakh	13.18%

Source: livemint.com

India household income groups — FY2026



High income 13.18% | 

The above data shows that there is a substantial group which is there in the low-income bracket and ignoring them would be at the cost of their own growth. Which means that organized retails have not only to cater to them but have to ensure that they are able to segment them and target them in a proper manner. This would mean that they would be able to grow steadily and would be in a position to highlight their achievements where they have not only succeeded in catering to them but have the society a good by ensuring that the poorest of the poor get what they need.

Safeguards required

- Keep **PDS stocks and commercial stocks physically and digitally separate.**
- Display the PDS entitlement, prices, opening hours, and grievance contacts prominently.
- Prevent compulsory purchase of non-PDS goods by ration-card holders.
- Use transparent procurement and competitive pricing.
- Provide working capital, storage, refrigeration, weighing machines, and staff training.
- Establish regular social audits and inspections.
- Protect beneficiaries' personal and biometric data.
- Ensure that commercial activities do not delay or restrict ration distribution.
- Give preference to local products where quality and supply are reliable.

While the government has allowed the reverse to take place. The “PDS plus community retail” is working in some areas where the fair price shops double as outlets for other materials like millets, pulses, dairy products, and daily-use goods in addition to subsidized foodgrains. The government has experimented with transforming FPSs into **Jan Poshan Kendras**. (Ration Shops Get Nutritional Makeover: Govt Pilots 'Jan Poshan Kendras', 2026)

Benefits

- **Improved financial viability:** Additional retail sales can supplement the dealer's PDS margin.
- **Greater consumer convenience:** Low-income households can obtain subsidised and regular-market goods at one location.
- **Better nutrition:** Shops can promote millets, pulses, fortified foods, and other nutritious products.
- **Rural market development:** Local producers and self-help groups can access a dependable retail channel.
- **Employment generation:** Retail management, delivery, warehousing, and digital service activities can create local work.
- **Improved transparency:** e-POS machines and digital inventory systems can reduce diversion and record transactions electronically.
- **Stronger public-service delivery:** FPSs may also provide banking, postal, LPG-cylinder, and citizen-service facilities.

For the urban poor in Patna, fair price shops or organized retail outlets should stock **affordable, frequently used, small-pack FMCG products**. Low-unit packs are important because they reduce the immediate cash burden, minimize wastage, and suit households with irregular daily or weekly incomes. Indian FMCG companies commonly use ₹1–₹20 packs for low-income consumers. (Bose, 2026)

A survey of poor urban in the city of Patna revealed that they have a basic necessity of the following goods in on a regular basis.

Category	Products to stock
Basic food	Packaged atta, rice, pulses, edible oil, salt, sugar, spices, tea, and packaged milk
Affordable nutrition	Fortified flour, fortified rice, millets, nutritious biscuits, roasted gram, peanuts, health mixes, and infant or supplementary nutrition products

Category	Products to stock
Breakfast and convenience foods	Biscuits, flattened rice, suji, noodles, ready-to-cook mixes, and low-cost breakfast items
Personal care	Bath soap, detergent soap, shampoo sachets, toothpaste, toothbrushes, hair oil, sanitary pads, and shaving products
Household cleaning	Washing powder, dishwashing bar, dishwashing liquid, floor cleaner, toilet cleaner, bleaching powder, and disinfectant
Health and hygiene	ORS, masks, handwash, mosquito coils, mosquito repellents, sanitary products, and basic first-aid items
Baby care	Diapers in small packs, baby soap, baby oil, feeding accessories, and low-cost sanitary napkins
Cooking and fuel support	Packaged spices, matchboxes, candles, batteries, and approved clean-cooking or LPG-related accessories
School and daily-use items	Notebooks, pens, pencils, school bags, reusable water bottles, and low-cost stationery
Utility items	LED bulbs, umbrellas, locks, ropes, plastic storage containers, and low-cost household utensils

The first phase should focus on:

1. Rice, wheat flour, pulses, edible oil, salt, sugar, and spices.
2. Bath soap, detergent, shampoo, toothpaste, and sanitary pads.
3. Biscuits, fortified foods, roasted gram, millets, and low-cost breakfast products.

4. Mosquito repellents, ORS, handwash, disinfectant, and basic first-aid items.
5. Matchboxes, candles, batteries, notebooks, pens, and LED bulbs.
6. Baby-care and women's hygiene products.

These items would cover the very basic necessities for the urban poor in Patna. These are regular monthly item purchased by the urban poor and these are things that they will always need on a monthly basis. It would be a very simple matter for the organised retail to identify these items and keep In smaller packs So that it is possible for the intended target market to make the purchases from the organised retail shops. Living in Urban areas throws up its own challenges surrounded by difficulties in activities like health and hygiene. The problem starts from lack of proper housing In the urban areas slum lying conditions in which they stay and the temporary night shelters Are makeshift in nature. Drinking water is another problem that they face due to lack of proper hand pumps and safe water storage units. Livelihood and decent work possibilities also become a challenge at times. Other times these are available. Transport and connectivity are other issues that they have to face because of which the requirements change from the rural poor. In the urban area social protection and documentations are another big challenge as they do not have proper residential addresses and their safety and inclusion are always under a question mark. The climate and disaster resilience in the urban areas is another big challenge that they face and therefore these factors become a priority for the urban poor.

Conclusion

The contribution of the organised retail in providing them with their basic necessities will go a long way in fulfilling the needs of the urban poor. These poor people will be at least assured that they will be able to meet the challenges that they face in living in urban areas with minimum earnings. This will also help them to set aside a certain amount of money which they save from these spendings, for the education, and healthcare of their children and themselves. Thus, apart from fulfilling their own needs, the organised retail would be catering to general welfare of the society as well by augmenting fair price shops in their outlet.

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